

Agreed strategy research workflow

Brief for the strategist | Local development, historical validation and live observation

Objective. Develop strategies using historical data, validate selected rules on unseen historical periods, then observe qualifying strategies against incoming live market data. The system will run locally on a laptop or desktop; a hosted server is optional.

1. Develop and backtest

Define a hypothesis and request the historical data it requires: instruments, dates and candle intervals. Download through the approved Upstox API, check data quality and store it locally for reuse. Explore and refine rules using a designated development dataset. Record each strategy version, assumptions and results, including transaction-cost and slippage assumptions.

Output: documented candidate rules and development results. Freeze the selected rules before validation.

2. Validate on separate historical data

Test the frozen rules on data that was not used to create or select them. Prefer a chronologically later validation period; use additional older periods to examine different market conditions. Agree evaluation criteria before viewing results. If validation results lead to rule changes, treat that data as development data and reserve another untouched period.

Output: a validation report covering returns, drawdowns, trade count, costs, stability and data limitations; select strategies for live observation.

3. Observe on live market data

Run only the selected, frozen strategy versions during market hours. Record timestamped signals and simulated trades under declared fill and cost assumptions. Compare observed behaviour with historical results, including delays and missed observations. The local machine must remain awake and connected; record interruptions without reconstructing missed live snapshots.

Output: a forward observation report. Live observation does not authorize real orders or capital deployment.

Data and operating approach

Fetch historical data on demand for each approved study and reuse the local cache. Keep raw inputs, dataset and strategy versions, timestamps, gaps and audit records reproducible within the existing 3 GiB cap. Verify historical FnO membership when the study depends on it. Underlying candles alone cannot establish historical option execution prices or option P&L; those studies need separately scoped option data.

Next handoff

The strategist will specify the first hypothesis, universe, development and validation periods, entry/exit and risk rules, required data, and pass/fail criteria. Each stage will receive a detailed plan and review before it begins. This brief records the workflow only; none of the three stages is being started now.